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Report Name: Oilseeds and Products Update

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Post: Jakarta

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Report Highlights:

Post raises its forecast for soybean meal imports in 2025/26, driven by stronger poultry demand and increased requirements from the expanding Free Nutritious Meal (MBG) program. Soybean consumption is also projected to recover in 2025/26 following contracted use related to weak household consumption in early 2025. The Government of Indonesia (GOI) has reaffirmed its commitment to implement the B50 biodiesel mandate by mid-2026, despite recent plantation seizures that may impact production.

Commodity: Oil, palm

Production
For 2025/26, Post revises down Indonesia palm oil production to 46.7 million metric ton (MMT) due to expected yield reduction in the palm oil plantations the Government of Indonesia (GOI) announced it had confiscated since early 2025. Between February to October 2025, the GOI reportedly confiscated up to 3.3 million hectares of land, representing 19 percent of Indonesia's area planted for palm. The newly created state-owned company, Agrinas Palma, took over most of the reclaimed palm plantations that were established or maintained via unlawful procedures. A small fraction of palm plantations grown in protected areas were destroyed. The revised 2025/26 production remains 2.6 percent higher than 2024/25 on favorable weather and adequate fertilizer application (see ID2025-0015).

According to projections by Indonesia's local weather agency (BMKG), the regions of Sumatera and Kalimantan—both key palm production areas—are expected to experience an extended wet period throughout February 2026 due to the emergence of a weak La Niña event anticipated in late December 2025. Typically, La Niña leads to normal or above-normal rainfall, which prevents water shortages for most plantations in these areas and supports the continued development of fruit during this stage.

Consumption
Indonesia's biodiesel mandate program continues to be a primary driver of domestic palm oil consumption. In 2025, the GOI increased the biodiesel blend rate to 40 percent (B40), up from 35 percent (B35) in 2024, and allocated 15.6 billion liters for B40 implementation. According to the GOI, biodiesel distribution from January to November 2025 reached 12 billion liters, or 78 percent of the full-year allocation, slightly below the pro-rated target.

With its sights still set on B50, the GOI plans to start a road test with B50 in December 2025 and is targeting the second half of 2026 for nationwide implementation. With the additional 4-5 billion liters of palm biodiesel necessary for B50, the industry is focused on expanding its capacity to produce biodiesel, which is currently at 80 percent of utilization for B40. Post expects palm oil use for the industrial sector to remain at 14.7 MMT in 2024/25 and is expected to increase to 14.9 MMT, assuming an unchanged blending rate for the remainder of 2025/26.

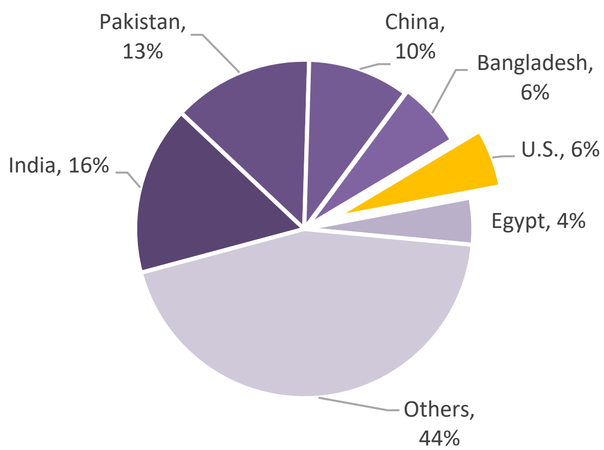
Palm oil consumption within the food sector is projected to reach 7.4 million metric tons (MMT) in 2025/26, representing an increase of 50,000 metric tons compared to 2024/25. With the Domestic Market Obligation (DMO) remaining in effect, the supply of cooking oil for both the food processing industry and household sectors is anticipated to remain sufficient, despite retail prices exceeding government-set levels in several regions.

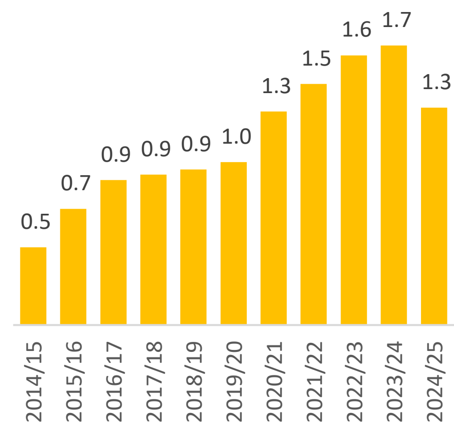
Based on abovementioned factors, Post expects Indonesia palm oil consumption at 22.6 MMT for 2025/26, 1 percent increase from 2024/25 on continued demand from biodiesel industry and food sector.

Trade
Post forecasts Indonesia's palm oil exports at 24 million metric tons for 2025/26, representing a slight increase over 2024/25. This projection reflects sustained demand from key markets, although there are limited exportable volumes, and increased competition from non-palm vegetable oils.

Indonesia's palm oil exports increased by 5.4 percent in 2024/25, compared to the previous year; however, volumes remained substantially below historical peaks. Exports to major markets experienced notable declines: India decreased by 17 percent to 3.8 MMT, China fell by 22 percent to 2.3 MMT, and the United States dropped by 22 percent to 1.3 MMT. These reductions were primarily due to higher global vegetable oil supplies, elevated carryover stocks, China's increased domestic oilseed crushing (see CH2025-0184), and the imposition of the 19 percent U.S. reciprocal tariff on July 2025 which remains in effect at the time of writing. While the five-year average for Indonesia's palm oil exports to the United States was 1.5 MMT representing 5 to 8 percent of Indonesia's palm oil exports, in 2024/25, the 1.3 MMT of Indonesian palm oil exports to the United States represented only six percent of Indonesia's palm oil exports. Conversely, Indonesia's palm oil exports to ASEAN countries rose markedly, with shipments to Malaysia up 217 percent to 946,000 MT. Palm oil exports to Vietnam and the Philippines increased by 29 percent and 48 percent respectively on robust regional refining demand for food processing. Additional export growth was observed in African and Middle Eastern markets.

Figure 1. Indonesia Palm Oil Exports 2024/25 and Shipments to the United States (MMT)





Note: Shipment to the United States (right) in Million Metric Ton (MMT), Source: Trade Data Monitor, LLC

Stocks

With higher production and continued domestic demands, Indonesia's 2025/26 palm oil stocks are forecast at 4.5 MMT, a slight increase from 2024/25.

Table 1. Production, Supply and Distribution for Palm Oil, 2023/24-2025/26

Oil, Palm	2023/2024		2024/2025		2025/2026	
Market Year Begins	Oct 2023		Oct 2024		Oct 2025	
Indonesia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	0	0	0	0	0
Area Harvested (1000 HA)	13500	13500	14000	14400	14200	14400
Trees (1000 TREES)	0	0	0	0	0	0
Beginning Stocks (1000 MT)	5107	5107	4760	4760	4764	4429
Production (1000 MT)	43000	43000	46000	45500	47500	46700
MY Imports (1000 MT)	1	1	0	0	0	0
Total Supply (1000 MT)	48108	48108	50760	50260	52264	51129
MY Exports (1000 MT)	22273	22273	23471	23471	24000	24000
Industrial Dom. Cons. (1000 MT)	13500	13500	14750	14700	15375	14900
Food Use Dom. Cons. (1000 MT)	7300	7300	7500	7350	7750	7400
Feed Waste Dom. Cons. (1000 MT)	275	275	275	310	275	310
Total Dom. Cons. (1000 MT)	21075	21075	22525	22360	23400	22610
Ending Stocks (1000 MT)	4760	4760	4764	4429	4864	4519
Total Distribution (1000 MT)	48108	48108	50760	50260	52264	51129
Yield (MT/HA)	3.1852	3.1852	3.2857	3.1597	3.3451	3.2431
(1000 HA) ,(1000 TREES) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Commodity: Oilseed, soy

Production

Indonesia’s 2025/26 soybean production is forecast to remain at 320,000 metric tons, a 6 percent decrease from 2024/25 due to reduced harvested area. Farmers favor more profitable crops such as corn and paddy, especially in rainfed areas during wet seasons. In addition, government support for soybeans has declined as the GOI has shifted assistance to other crops.

Consumption

Post projects soybean in food sector to recover to 2.85 million metric tons in 2025/26 on expected improved consumer purchasing power and expansion of President Prabowo’s Free Nutritious Meals program (MBG), which uses tempeh and tofu as affordable protein sources. According to the GOI, the number of established kitchens for the MBG program reached 14,853 as of mid-November 2025, serving over 42 million beneficiaries. The government initially set a target to reach full implementation of the program, reaching 82.9 million beneficiaries, by the end of 2025. Post estimates that full implementation of the program will require 675,000 MT of soybeans per year (see ID2025-0015).

Soybean in feed sector, typically use as full fat soybean (FFS), are projected to increase by 6 percent from 155,000 MT in 2024/25 to 165,000 MT in 2025/26 on expected rising poultry feed production. Higher inclusion of FSS typically occurs when feed mills offsetting corn use reduction with feed wheat.

Indonesia’s soybean consumption in the food sector is revised down to 2.7 MMT for 2024/25, following continued weak purchasing power in late 2024 and the first semester of 2025. However, expansion of the MBG program played a key role in stabilizing soy food consumption amid reduced demand for non-MBG consumption.

Indonesia's National statistics agency (BPS) reported that household spending growth in the period of July to September 2025 weakened to 4.89 percent, 2 percent lower than the previous quarter. To alleviate the economic condition, the GOI has provided economic stimuli packages aimed at supporting the middle class, the main contributors of consumption, with a positive impact expected within the first two quarters of 2026[1].

Trade

Post maintains soybean imports at 2.7 MMT for 2025/26 on expected continued demand from tempeh and tofu producers. Export weekly data indicates that Indonesia ordered 337,000 MT of soybean in the week of October 9, 2025, a significant increase from 193,600 MT one year ago.

Soybean imports decreased 5 percent to 2.4 MMT in 2024/25, reflecting contracted demand from the food sector related to weak consumer purchasing power and depreciation of the Indonesian rupiah. During 2024/25, average soybean retail prices floated between IDR 14,600 to 15,100 per kg. During this time, the Indonesian rupiah depreciated 7 percent and soybean prices at international markets decreased by 16 percent.

For 2025/26, the United States is expected to remain the primary supplier for soybean imports, followed by Canada, and the South America region (Brazil, Bolivia, and Uruguay). Since 2019, Canada has shipped between 240,000 MT to 290,000 MT of soybeans per year to Indonesia, while less than 50,000 MT a year of South American origin soybean arrived in Indonesia. In 2024/25, U.S. soybean market share declined to 86 percent, while Canada's share rose to 12 percent on more competitive prices, as the average unit value of Canadian soybean imports were lower than U.S. origin soybeans. In addition, industry contacts indicated that handling costs for Canadian soybeans was lower than the U.S. at discharging ports. Soybeans enter Indonesia duty free from all origins.

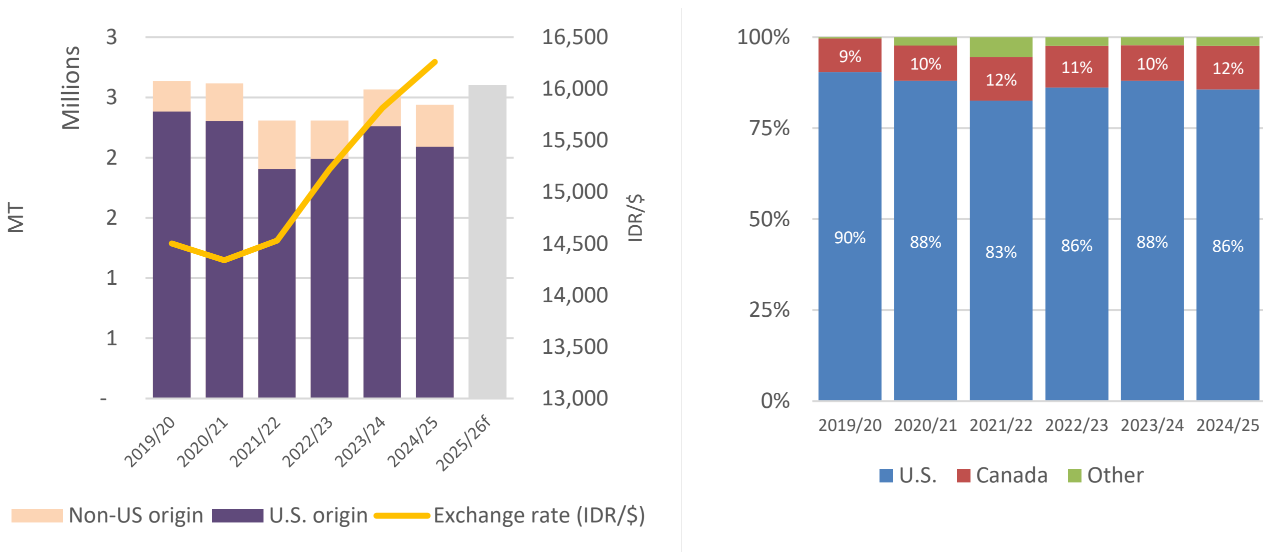
Table 2. Unit Value of Soybean Imports ($/MT)

Origin	**2019/20**	**2020/21**	**2021/22**	**2022/23**	**2023/24**	**2024/25**
United State	398	559	686	673	544	470
Canada	404	555	638	676	549	464

Source: Trade Data Monitor, LLC

[1] https://wartaekonomi.co.id/read586872/kelas-menengah-diproyeksikan-nikmati-dampak-perbaikan-ekonomi

Figure 2. Soybean Imports Origin and Indonesia Rupiah Depreciation



Source: Trade Data Monitor (TDM), LLC, Bank of Indonesia

Stocks

With improved demands and supplies, 2025/26 soybean ending stocks are expected to remain steady around 100,000 MT

Table 3. Production, Supply and Distribution for Soybean, 2023/24-2025/26

Oilseed, Soybean	2023/2024		2024/2025		2025/2026	
Market Year Begins	Oct 2023		Oct 2024		Oct 2025	
Indonesia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	330	330	330	320	290	290
Area Harvested (1000 HA)	320	320	310	310	290	290
Beginning Stocks (1000 MT)	100	100	129	129	166	101
Production (1000 MT)	375	375	350	340	320	320
MY Imports (1000 MT)	2567	2567	2439	2439	2750	2700
Total Supply (1000 MT)	3042	3042	2918	2908	3236	3121
MY Exports (1000 MT)	3	3	2	2	2	2
Crush (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	2760	2760	2600	2650	2900	2850
Feed Waste Dom. Cons. (1000 MT)	150	150	150	155	155	165
Total Dom. Cons. (1000 MT)	2910	2910	2750	2805	3055	3005
Ending Stocks (1000 MT)	129	129	166	101	179	104
Total Distribution (1000 MT)	3042	3042	2918	2908	3236	3121
Yield (MT/HA)	1.1719	1.1719	1.129	1.0968	1.1034	1.1034
(1000 HA) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: [PSD Online Advanced Query]						

Commodity: Meal, soy

Production
Indonesia does not produce soybean meal.

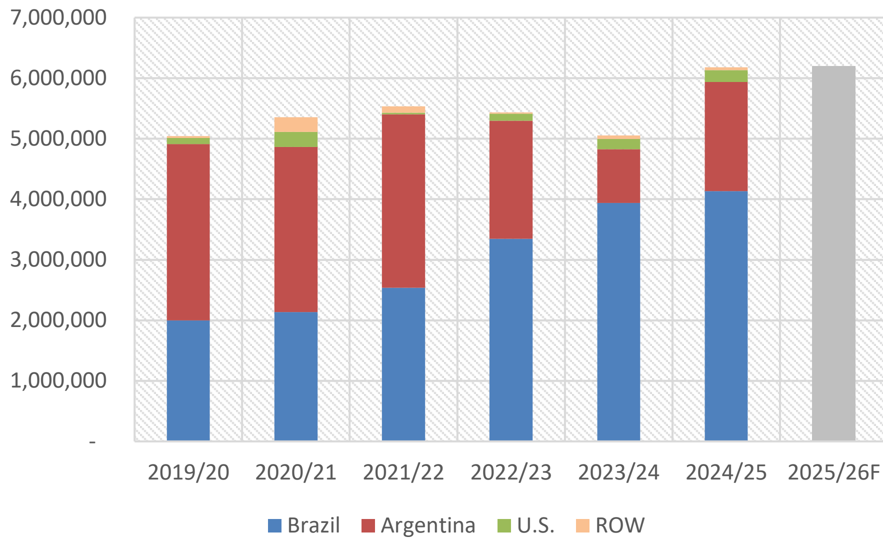
Consumption
In 2024/25, Indonesia's feed sector showed higher performance than expected as soybean meal demand rose 10 percent to 5.7 MMT from previous year of 5.2 MMT. During a low period of broiler prices April to June 2025, many smallholders withheld their live birds from the market, creating additional feed requirements. In addition, increased demand related to the MBG program began to pick up in August 2025 as many new kitchens became operational, increasing demand for eggs and poultry meat. Post anticipates the feed industry demand for soybean meal to remain strong, forecasting it to increase by 9 percent to 6.2 MMT for 2025/26.

The poultry feed industry is the primary driver of soybean meal consumption in Indonesia, accounting for approximately 85–90 percent of total feed production. Of the 94 feed mills operating across the country, 90 are associated with the poultry feed sector, which includes both broiler and layer production. Soybean meal is a key ingredient in poultry feed, with an inclusion rate of 20–25 percent. Aquafeed production represents the second-largest use of soybean meal, with inclusion rates ranging from 30 to 40 percent. While the Indonesian dairy industry is growing, soybean meal use for dairy cattle is very limited.

Trade
The forecast for 2025/26 soybean meal imports is revised up to 6.2 MMT, on continued strong demand from the feed industry. Trade data shows that soybean meal imports for 2024/25 reached a record high at 6.1 MMT, reflecting a rebound from two-years decline with average of 23 percent lower price compared to the year before.

Imports of U.S. origin soybean meal remains limited in 2024/25, despite increasing 16 percent year on year in 2024/25 to 193,000 MT. If the price differential between U.S.-origin soybean meal and South American-origin soybean meal narrows, reaches parity, or moves below the prevailing Brazilian-origin price, the market share of U.S.-origin soybean meal in Indonesia is expected to increase during the 2025/26 marketing year

Figure 3. Soybean Meal Imports Origin



Source: Trade Data Monitor (TDM), LLC, Bank of Indonesia

Stocks

On expected higher feed use and supplies, Post expects soybean meal stocks to remain steady at 585,000 MT in 2025/26.

Table 4. Production, Supply and Distribution for Soybean Meal, 2023/24--2025/26

Meal, Soybean	2023/2024		2024/2025		2025/2026	
Market Year Begins	Oct 2023		Oct 2024		Oct 2025	
Indonesia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	0	0	0	0	0	0
Extr. Rate, 999.9999 (PERCENT)	0	0	0	0	0	0
Beginning Stocks (1000 MT)	251	251	106	106	385	585
Production (1000 MT)	0	0	0	0	0	0
MY Imports (1000 MT)	5055	5055	6179	6179	6200	6200
Total Supply (1000 MT)	5306	5306	6285	6285	6585	6785
MY Exports (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	0	0	0	0	0	0
Feed Waste Dom. Cons. (1000 MT)	5200	5200	5900	5700	6200	6200
Total Dom. Cons. (1000 MT)	5200	5200	5900	5700	6200	6200
Ending Stocks (1000 MT)	106	106	385	585	385	585
Total Distribution (1000 MT)	5306	5306	6285	6285	6585	6785
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: [PSD Online Advanced Query]						

Attachments:

No Attachments